Practice workbook · Why the petty cash in the box differs from the book

Suggesting causes of a shortage or gap between the cash counted and the petty cash book balance.

4 question parts: 1 worked-example retry and 3 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-REC-08

1. Question 16 · part c.iii · 2 marks

2023 JAN · Paper 01

Worked-example retry · Attempt part c.iii only.

16 (a) State **two** benefits of maintaining a petty cash book.

(2)

1 .....

2 .....

Sven maintains a petty cash book with a float of $150

The following transactions took place during August 2022.

August	Voucher number	Transaction	$
5	1201	Paid employee's travel expenses	14.00
12	1202	Purchased postage stamps	26.80
16	1203	Paid Fabrizi, a credit supplier	30.00
19	1204	Paid parcel post	45.00
24	1205	Paid taxi fare	9.60
31		Restored the petty cash float	**To be calculated**

(b) Prepare the petty cash book for the month ended 31 August 2022.

Balance the petty cash book on that date and bring the balance down on 1 September 2022.

(9)

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1. Question 16 · part c.iii · 2 marks

2023 JAN · Paper 01

Worked-example retry · Attempt part c.iii only.

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Petty Cash Book

Receipts $	Date 2022	Details	Voucher number	Total $	Travel $	Postage $	Ledger $

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P 6 5 8 8 6 A 0 1 5 2 4

1. Question 16 · part c.iii · 2 marks

2023 JAN · Paper 01

Worked-example retry · Attempt part c.iii only.

(c) (i) State whether the imprest amount restored would be shown on the debit side or the credit side of the main cash book.

(1)

.....

(ii) State where in the statement of financial position the petty cash book balance on 1 September 2022 will be shown.

(1)

.....

(iii) State **two** reasons why the balance in the petty cash book may be different to the amount in the petty cash box.

(2)

1 .....

2 .....

(Total for Question 16 = 15 marks)

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Working and answer

2. Question 16 · part c · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part c only.

16 (a) State **two** reasons why a business maintains a petty cash book.

(2)

1 .....

.....

2 .....

.....

Juliet maintains a petty cash book with a float of $150

The following transactions took place during April 2020.

April	Voucher number	Transaction	$
5	401	Paid taxi fare	15.20
9	402	Purchased postage stamps	14.60
13	403	Paid employee travel expenses	25.00
22	404	Purchased envelopes	18.30
29	405	Paid cleaner's wages	30.00
30		Restored float to petty cash	**To be calculated**

(b) Prepare the petty cash book for the month ended 30 April 2020.

Balance the petty cash book on that date and bring the balance down on 1 May 2020.

(11)

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2. Question 16 · part c · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part c only.

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Petty cash book

Receipts $	Date 2020	Details	Voucher number	Payments $	Cleaning $	Stationery $	Travel $	Postage $

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Turn over ▶

2. Question 16 · part c · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part c only.

(c) State **one** reason why the balance of the petty cash book at 1 May 2020 may be different to the cash held.

(1)

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(d) State where in the statement of financial position at 1 May 2020 the balance of the petty cash book would be shown.

(1)

.....

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(Total for Question 16 = 15 marks)

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Working and answer

3. Question 15 · part c · 2 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

15 (a) State **two** reasons why a business maintains a petty cash book.

(2)

1 .....

.....

2 .....

.....

Bharti maintains a petty cash book with a float of $120

The following transactions took place in March 2022.

March 2022	Voucher number	Transaction	$
3	2360	Purchased postage stamps	21.60
9	2361	Purchased stationery	32.30
18	2362	Paid travel expenses	9.20
22	2363	Paid office cleaner	20.00
29	2364	Paid taxi fare	15.00
31		Restored the petty cash float	**To be calculated**

(b) Prepare the petty cash book for the month ended 31 March 2022.

Balance the petty cash book on this date and bring the balance down on 1 April 2022.

(11)

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3. Question 15 · part c · 2 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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Petty Cash Book

Receipts $	Date 2022	Details	Voucher number	Payments $	Travel $	Postage & stationery $	Cleaning $

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P 7 1 5 7 3 A 0 1 1 2 4

3. Question 15 · part c · 2 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

On 1 April 2022, Bharti counted the petty cash and found that it was $10 less than the balance in the petty cash book.

(c) State **two** reasons why this shortage may have occurred.

(2)

1 .....

.....

2 .....

.....

(Total for Question 15 = 15 marks)

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Working and answer

4. Question 14 · part d · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part d only.

14 (a) State **two** purposes of maintaining a petty cash book.

(2)

1 .....

.....

2 .....

.....

Rita maintains a full set of accounting records including a petty cash book which has a float of $200

On 1 March 2024, the balance of the petty cash book was $155. On that day the float was restored.

(b) State the double entry for the transaction on 1 March 2024.

(4)

Account to be debited	$	Account to be credited	$

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4. Question 14 · part d · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part d only.

On 1 March 2024, the balance on the travel expenses account was $80

During the month of March 2024, petty cash payments for travel totalled $40

(c) Prepare the travel expenses account for the month of March 2024. Balance the account on 31 March 2024 and bring the balance down on 1 April 2024.

(3)

Travel Expenses Account

Date	Details	$	Date	Details	$

On 31 March 2024, the total amount of cash in the petty cash box did not match the balance of the petty cash book.

(d) State **one** reason why this might have been the case.

(1)

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Turn over

4. Question 14 · part d · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part d only.

On 31 March 2024, the main cash book was balanced and showed balances of:

- cash $360
- bank $4600 (Cr).

Rita checked the bank balance with that shown on her online bank account which showed a different balance.

Rita identified the following transactions which she believed may have contributed to the difference.

- A receipt, $320 from Volter, a credit customer, had been paid directly into her bank account.
- The bank had charged her its monthly management fee of $50
- The bank had made a regular direct debit payment for rent, $575
- The takings from the last day of the month, $3200, had not been processed by the bank.
- A cheque, $2300, received earlier in the month from Lo Traders, had been dishonoured by the bank.

(e) Prepare the updated bank account at 31 March 2024. Balance the account on this date and bring the balance down on 1 April 2024.

(5)

Bank Account

Date	Details	$	Date	Details	$
Mar 31			Mar 31		

(Total for Question 14 = 15 marks)

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4. Question 14 · part d · 1 mark · Working and answer

Working and answer

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